

Amendment No. 2 to HB1754

Howell
Signature of Sponsor

AMEND Senate Bill No. 1808

House Bill No. 1754*

by deleting subsection (a) in § 69-9-607 of the amendatory language of SECTION 1 and substituting instead:

(a) The certificate of title must be delivered to the owner of record in the event no security interest appears on the certificate. Otherwise, the certificate of title must be delivered to the secured party of record upon the vessel as shown in the certificate and must be retained by the secured party of record until the security interest is discharged or released, at which time a notation must be made on the certificate of title, setting forth the fact that the security interest has been discharged or released, which must be signed by the secured party of record. If the certificate of title shows on its face one (1) or more security interests still outstanding, then the secured party of record must deliver the certificate of title to the secured party that is next in order of priority within ten (10) business days. If there are no more security interests still outstanding, then the secured party of record must deliver the certificate of title to the owner within ten (10) business days from the discharge or release of the security interest. Within thirty (30) days of the date the security interest is discharged or released, the secured party of record shall send notice of the discharge or release to the agency. Notwithstanding § 69-9-622, if the agency is not notified within seventy-two (72) hours from the date of discharge or release by a secured party whose security interest was discharged or released, then the secured party is subject only to a civil penalty not to exceed five hundred dollars (\$500).

AND FURTHER AMEND by deleting the amendatory language in § 69-9-622 of SECTION 1 and substituting instead:

It is a Class C misdemeanor for a secured party to fail or neglect upon the discharge or release of the security interest to properly discharge or release the security interest in the manner provided for in § 69-9-607 and, if the certificate of title is in the secured party's possession, to fail to deliver the certificate to the person entitled to the certificate.

AND FURTHER AMEND by deleting the language "for the titling of vessels" in the first sentence of § 69-9-626 of SECTION 1 and substituting instead the language "for the titling of vessels in the discretion of the county clerk".